

Asian MLCC Industry

Introducing our long-term S&D model with a multi-year bullish view; prefer JP/TW names over KR

- **We introduce our MLCC S-D model which predicts a supply shortage view through 2028E.** Our Global MLCC S-D model includes historical updates and a forward three-year outlook. We forecast S-D shortage mainly propelled by server compute demand growth and unique capacity constraint factors. We expect the degree of tightness in the 26-28E cycle (from 10% over-supply in 25 to 6% shortage by 28E) to be slightly worse than that of the 2017-18 cycle (leading supplier's end-of-life program led a procurement demand spike amid first cloud capex and then first-gen EV demand take-off cycle) and estimate high-50% ASP growth during the same period (similar range of growth to that of the 2016-18 cycle).
- **Server compute drivers' TAM expansion.** Server is the single most important application in the MLCC industry which has seen a sharp surge in customer capacity allocation requests (both AI and GP server demand) and we have also seen relatively resilient automotive MLCC demand. While consumer electronics' end demand remains challenging, procurement activities are slightly different as customers (incl. distributor channels) will start to notice a tightening of supply. We forecast the MLCC industry TAM to be above US \$30bn (2025-28E CAGR of 24% vs. '2016-19 CAGR of +16%) with a larger impact from the ASP uptick. As a result, we estimate a higher margin profile in coming years (industry OPM at 38% in 2028E vs. 36% in '18), consistent with other commodity tech sectors (e.g. memory, substrate and others).
- **Higher capacity trade loss ratio from server/auto mix increase and yield challenge is an underappreciated point.** MLCC industry nameplate capacity has historically grown ~10% in the past ten years; however, effective capacity (after production penalty and yield adjustment) indicates considerably limited supply output versus growing procurement demand. Auto and Server MLCC are mainly designed based on larger form-factor vs. IT applications, and higher system power voltage requirements lead to the use of advanced specs. Furthermore, we have seen a sharp rise in new MLCC specs with ultra-high capacitance (e.g. 1005-47uf) for AI server applications (on the back of rising interest from both leading GPU and ASIC camp customers) resulting in a declining assembly yield in the leading supplier's capacity. Such capacity penalties (or trade losses) are accelerating this year (DD% negative impact on headline capacity growth in the next three years vs. low-to-mid single-digit % impact in the past five years), and is not fully understood by investors, in our view.
- **Investment recommendations – JP/TW over KR on valuation merit.** MLCC suppliers have collectively delivered a 268% 2026 YTD return (vs. MXAP +16%) well outperforming the rest of the technology hardware sub-sector, and its aggregate market cap stands at US\$354bn trading at 61x/40x/30x FY26-28E on consensus EPS. Given the early stage of the industry transition towards the AI ecosystem, we believe consensus earnings revisions tend to lag and expect investors to focus on the growth momentum. That said, share price momentum may remain strong in 2H26E and we stay

Technology - Semiconductors

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See page 14 for analyst certification and important disclosures, including non-US analyst disclosures.

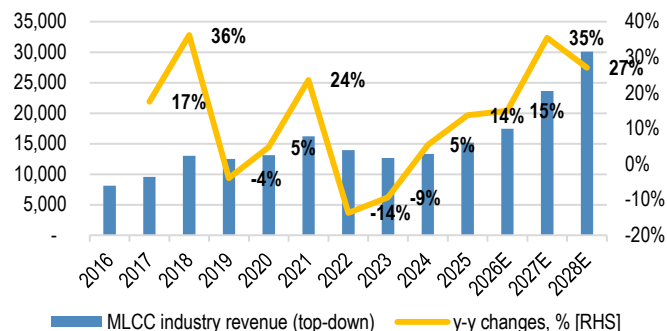
constructive on the sector's growth prospects. We have an OW view on all major MLCC players in Asia and believe Japan (**Murata > Taiyo Yuden > TDK**) and Taiwan (**Yageo**) peers present greater upside over their Korean peers (**SEMCO**) due to attractive valuation.

- **Key risks and catalysts.** AI server-grade MLCC (using side-gap construction method) is a relatively new SKU in the industry and we are seeing meaningful R&D activity pick up to accommodate higher power requirements for next-generation server systems. As discussed earlier, assembly yield tends to be 3-6x lower than that of normal MLCC and there are only a few selective suppliers who can scale up to meaningful volumes. This is likely to limit the production output for a considerable period and end customers' procurement appetite could be substantially higher regardless of price point. This remains a key upside risk point to the pricing and margin profile for AI MLCC and the spillover effect to IT and commodity segment will be a key monitoring point. We will closely follow suppliers' production and capacity-related commentary to assess the realistic supply increase and consequent S-D situation. Secondary market pricing has traditionally been a leading indicator of contract pricing sentiment and we will closely follow the trends.

Key charts and tables

Figure 1: MLCC industry revenue and y-y

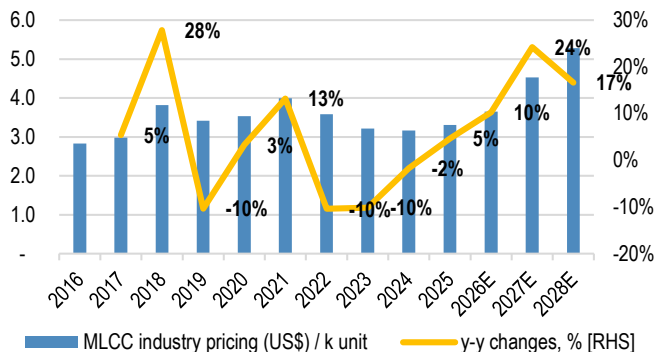
US\$m, % - RHS



Source: J.P. Morgan estimates, Company data.

Figure 3: MLCC industry pricing and y-y

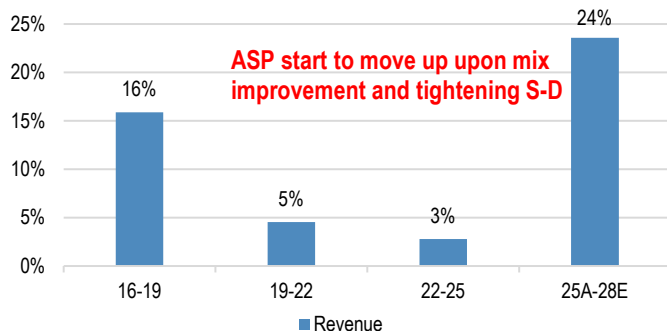
US\$, % - RHS



Source: J.P. Morgan estimates, Company data.

Figure 5: MLCC industry revenue vs volume CAGR comparison

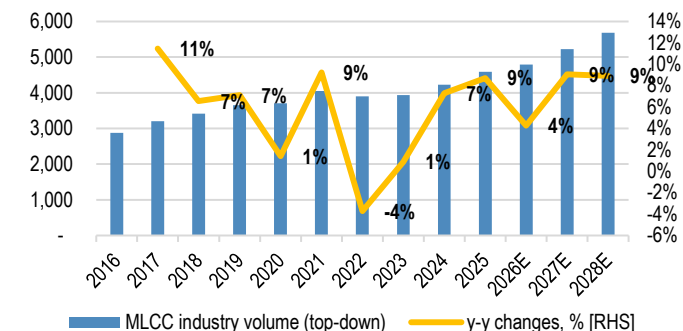
%



Source: J.P. Morgan estimates, Company data.

Figure 2: MLCC industry volume and y-y

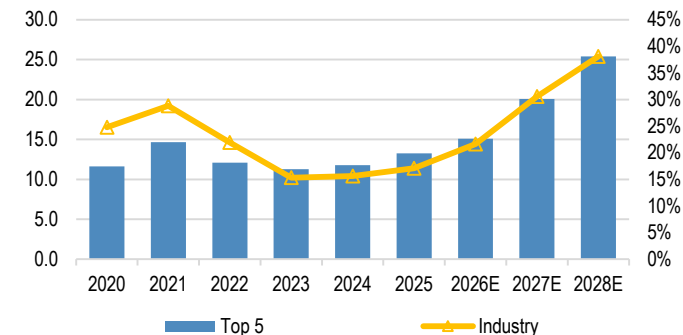
US\$m, % - RHS



Source: J.P. Morgan estimates, Company data.

Figure 4: MLCC Revenue and OPM trend for the top 5 players

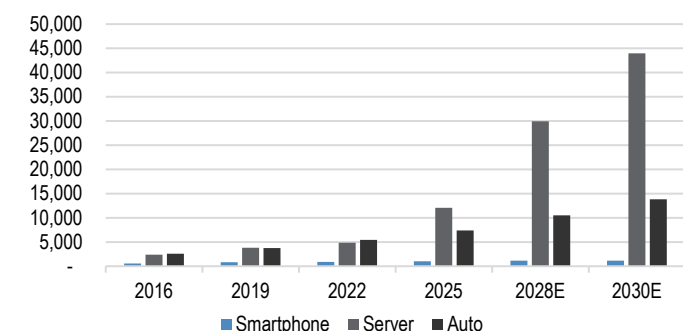
US\$bn, % - RHS



Source: J.P. Morgan estimates, Company data.

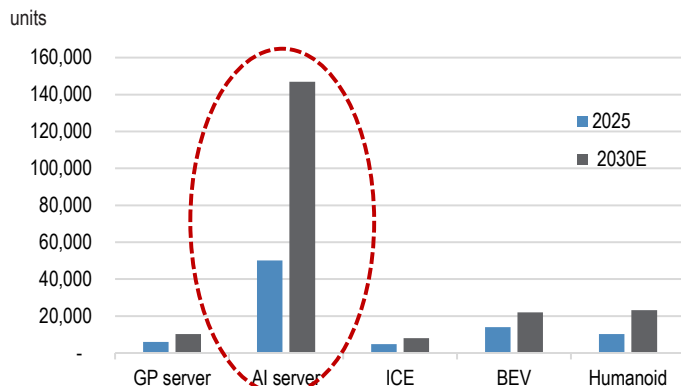
Figure 6: MLCC content comparison by application

Units



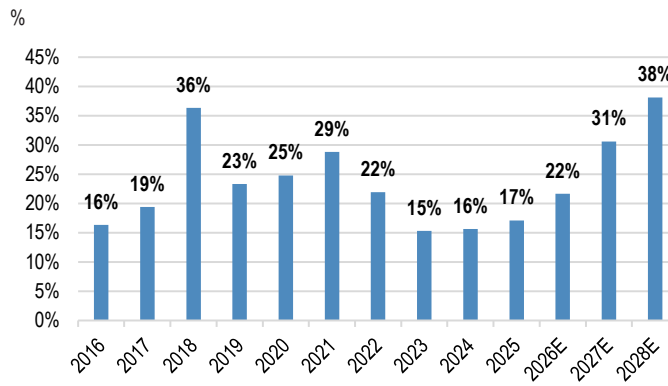
Source: J.P. Morgan estimates, Company data.

Figure 7: MLCC content comparison by application for 2025E



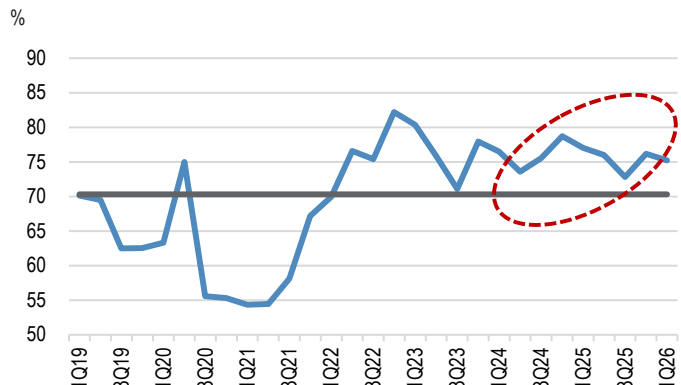
Source: J.P. Morgan estimates, Company data.

Figure 8: MLCC industry bottoms-up OPM trend



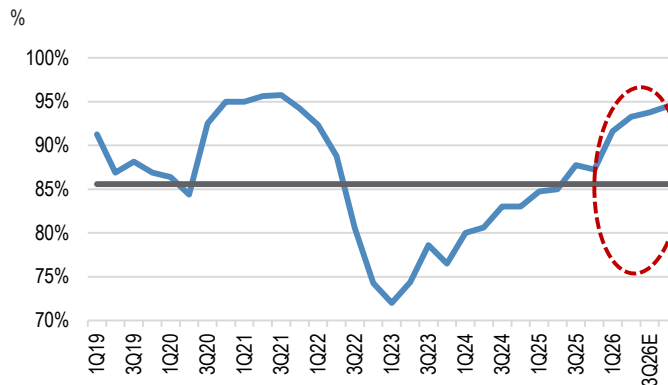
Source: J.P. Morgan estimates, Company data.

Figure 9: MLCC player's UTR trend



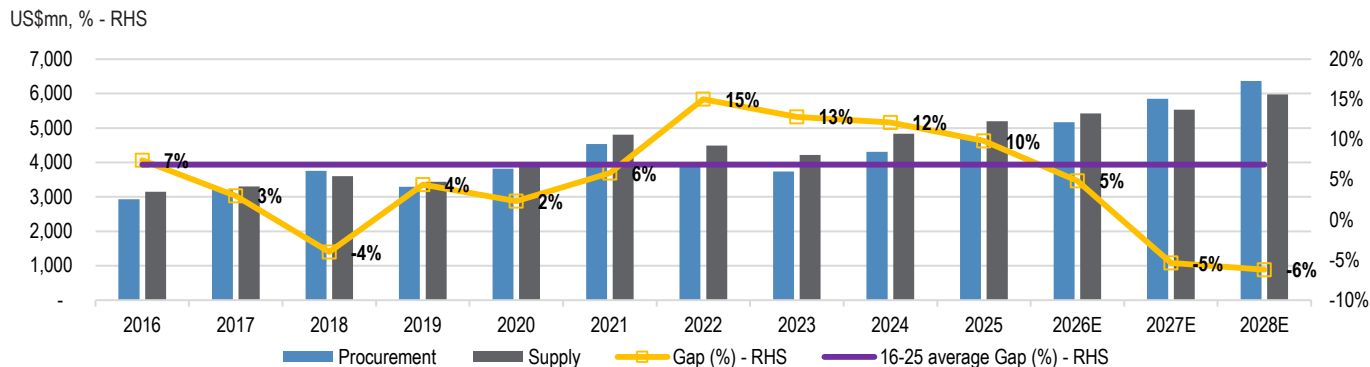
Source: J.P. Morgan estimates, Company data.

Figure 10: MLCC players' inventory days outstanding



Source: J.P. Morgan estimates, Company data.

Figure 11: Long Term MLCC Supply-Procurement Gap trend



Source: J.P. Morgan estimates, Company data.

Table 1: MLCC industry demand forecast

Units in billions

Unit in billions	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
MLCC demand	2,875	3,205	3,415	3,658	3,710	4,053	3,902	3,937	4,224	4,593	4,789	5,222	5,688	6,283	6,898
y/y changes, %		11%	7%	7%	1%	9%	-4%	1%	7%	9%	4%	9%	9%	10%	10%
Mobile	1,132	1,288	1,329	1,390	1,341	1,483	1,406	1,374	1,465	1,568	1,485	1,478	1,503	1,557	1,600
Smartphone	897	1,060	1,105	1,136	1,058	1,178	1,111	1,094	1,167	1,254	1,179	1,177	1,194	1,233	1,265
Low-end	252	288	316	317	297	281	246	281	333	334	280	273	279	290	298
Mid-end	305	396	393	436	372	441	410	357	358	394	384	384	389	400	412
High-end	339	376	397	382	389	457	455	456	475	526	515	519	526	542	556
Tablets	127	125	109	117	141	140	124	114	126	129	122	117	117	122	127
Featurephone	94	81	80	74	65	67	64	57	54	57	54	55	57	60	61
Others	15	24	34	64	77	98	107	109	119	128	130	130	135	142	146
PC/Server	296	336	376	401	442	520	484	430	474	592	711	957	1,199	1,453	1,717
Desktop	130	143	155	165	140	158	148	126	128	148	147	157	176	188	198
NBPC	130	144	160	170	215	265	245	220	236	273	277	310	363	384	405
Chromebook	7	11	14	16	33	38	22	20	22	23	23	25	30	33	37
Server	27	35	45	48	52	57	67	63	87	148	264	463	629	847	1,077
GP server	27	35	45	48	52	57	65	54	60	64	90	119	142	167	189
AI server	-	-	-	-	-	-	2	8	27	84	174	345	487	680	888
Others	3	3	2	2	1	1	1	1	1	1	1	1	1	1	1
Consumer	811	848	900	955	985	993	991	1,000	1,043	1,077	1,099	1,122	1,153	1,184	1,230
TV	444	452	476	490	503	491	478	484	502	511	517	533	543	554	564
Appliance	344	375	401	443	461	480	491	495	519	543	558	564	584	605	640
Others	22	21	23	22	22	22	21	22	22	23	24	25	25	26	27
Automotive	237	273	311	333	322	377	421	513	582	656	734	841	962	1,118	1,277
ICE	223	252	278	287	254	257	246	269	259	247	239	245	249	270	286
HEV	9	11	14	24	34	49	63	87	111	136	163	188	234	281	320
PHEV	2	3	5	5	9	18	27	41	69	85	103	121	137	158	187
EV	4	7	13	16	24	53	85	116	142	188	229	287	342	410	484
Industrial/Others	400	460	500	580	620	680	600	620	660	700	761	824	871	970	1,073
Industrial	400	460	500	580	620	680	600	620	660	700	760	820	860	930	980
Crypto currency															
Robotics (Humanoid)									0	0	1	4	11	40	93
Military/Civil/Others															
Auto as % of total MLCC	8.2%	8.5%	9.1%	9.1%	8.7%	9.3%	10.8%	13.0%	13.8%	14.3%	15.3%	16.1%	16.9%	17.8%	18.5%
EV as % of total MLCC	0.1%	0.2%	0.4%	0.4%	0.6%	1.3%	2.2%	2.9%	3.4%	4.1%	4.8%	5.5%	6.0%	6.5%	7.0%
Server as % of total MLCC	0.9%	1.1%	1.3%	1.3%	1.4%	1.4%	1.7%	1.6%	2.1%	3.2%	5.5%	8.9%	11.1%	13.5%	15.6%
Humanoid as % of total MLCC									0.0%	0.0%	0.0%	0.1%	0.2%	0.6%	1.3%
Auto + Server + Humanoid	9.2%	9.6%	10.4%	10.4%	10.1%	10.7%	12.5%	14.6%	15.8%	17.5%	20.8%	25.1%	28.2%	31.9%	35.5%
Supply mix of three segment	22.9%	24.0%	26.0%	26.0%	24.2%	25.2%	28.8%	33.6%	36.4%	41.2%	52.1%	65.1%	74.6%	84.6%	95.8%
y-y mix changes, %		1.1%	2.0%	-0.1%	-1.8%	1.0%	3.6%	4.8%	2.8%	4.7%	10.9%	13.0%	9.5%	10.0%	11.2%

Source: J.P. Morgan estimates, Company data.

Table 2: MLCC industry end-system unit forecast

Units in mn

	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
End demand															
Mobile	2,139	2,096	2,024	1,994	1,926	2,014	1,866	1,777	1,853	1,880	1,704	1,655	1,647	1,662	1,675
Smartphone	1,502	1,547	1,496	1,387	1,295	1,340	1,207	1,165	1,223	1,239	1,097	1,064	1,054	1,060	1,066
Low-end	623	605	602	573	513	454	381	417	479	458	368	351	348	350	352
Mid-end	502	566	516	541	443	502	453	386	375	388	362	351	348	350	352
High-end	377	376	378	354	339	384	373	362	369	392	368	362	358	360	362
Tablets	170	156	129	130	149	144	124	112	120	120	108	102	100	102	104
Featurephone	387	283	255	223	187	180	165	140	129	131	118	119	119	120	120
Others	80	110	145	255	295	350	370	360	380	390	380	370	375	380	385
PC/Server	301	297	297	300	329	362	304	259	266	285	259	263	280	286	291
Desktop	108	102	100	100	80	85	76	62	61	67	59	58	62	63	64
NBPC	162	160	160	162	196	221	189	163	168	182	163	163	173	174	176
Chromebook	9	13	15	16	33	35	19	17	18	18	16	17	18	19	21
Server	11.1	11.5	13.0	12.5	12.7	12.9	13.8	11.3	12.1	12.3	15.6	18.9	21.0	22.9	24.5
GP server	11.1	11.5	13.0	12.5	12.7	12.9	13.6	10.5	10.8	10.6	12.6	14.7	16.1	17.4	18.5
AI server	-	-	-	-	-	-	0.2	0.8	1.3	1.7	2.9	4.3	4.9	5.5	6.0
Others	10	10	10	9	8	7	7	6	6	6	6	6	6	6	7
Consumer	3,011	3,131	3,226	3,306	3,323	3,337	3,301	3,228	3,281	3,330	3,329	3,281	3,306	3,331	3,431
TV	222	215	221	223	224	214	204	202	205	204	203	205	205	205	205
Appliance	2,750	2,882	2,971	3,052	3,070	3,095	3,071	3,000	3,050	3,100	3,100	3,050	3,075	3,100	3,200
Others	39	33	33	31	29	28	27	26	26	26	26	26	26	26	26
Automotive	92	93	92	88	76	78	77	86	88	89	90	91	92	92	93
ICE	89	90	87	82	67	64	59	61	56	51	48	45	41	39	36
HEV	2	2	3	4	5	7	9	11	14	16	18	20	21	22	24
PHEV	0	0	1	1	1	2	3	4	7	8	9	9	10	11	11
EV	0	1	1	2	2	5	7	9	11	13	15	17	19	21	22
Industrial/Others	182	175	178	181	181	183	185	187	192	197	208	212	216	220	224

Source: J.P. Morgan estimates, Company data.

Table 3: MLCC industry S/D analysis

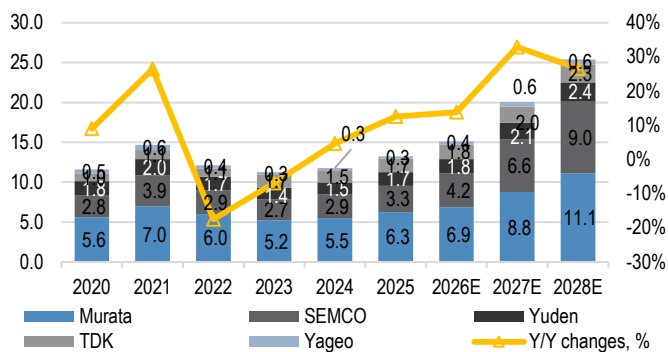
Units in bn

MLCC S-D analysis	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
MLCC industry demand	2,875	3,205	3,415	3,658	3,710	4,053	3,902	3,937	4,224	4,593	4,789	5,222	5,688	6,283	6,898
MLCC industry procurement	2,933	3,205	3,757	3,292	3,822	4,540	3,902	3,740	4,309	4,731	5,172	5,849	6,370	7,037	7,725
MLCC industry capacity	3,583	3,909	4,414	4,882	5,370	6,005	6,440	7,090	7,826	8,472	9,239	10,542	12,229	14,431	17,028
MLCC industry capacity y-y	280	326	505	468	488	635	435	649	736	646	768	1,303	1,687	2,201	2,597
Large-size MLCC impact (%)	0%	-1%	-2%	0%	2%	-1%	-4%	-5%	-3%	-5%	-11%	-13%	-10%	-10%	-11%
MLCC industry capacity - adjusted	3,583	3,864	4,280	4,752	5,337	5,910	6,114	6,422	6,938	7,183	6,940	6,868	7,391	8,156	8,848
MLCC industry utilization (%)	88%	95%	94%	81%	82%	91%	82%	73%	78%	81%	88%	92%	94%	95%	95%
MLCC industry yield (%)	90%	90%	90%	90%	90%	90%	90%	90%	90%	89%	89%	87%	86%	86%	86%
MLCC industry volume (supply)	3,150	3,301	3,606	3,436	3,911	4,804	4,488	4,220	4,831	5,195	5,423	5,534	5,975	6,664	7,229
MLCC industry S-D imbalance	217	96	(151)	144	89	265	588	479	522	465	252	(315)	(395)	(373)	(498)
MLCC industry S-D (%)	7%	3%	-4%	4%	2%	6%	15%	13%	12%	10%	5%	-5%	-6%	-5%	-6%

Source: J.P. Morgan estimates, Company data.

Figure 12: MLCC industry bottom-up revenue and y-y trend

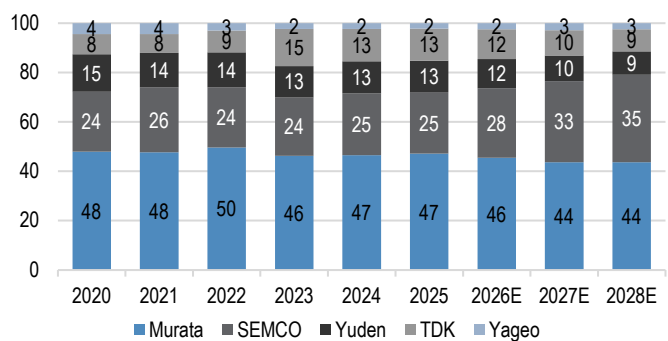
US\$bn



Source: J.P. Morgan estimates, Company data.

Figure 14: MLCC Industry Bottom-up Wallet Share Comparison (Value)

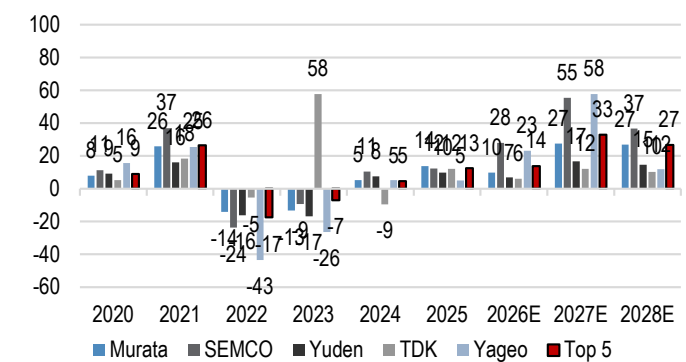
%



Source: J.P. Morgan estimates, Company data.

Figure 13: MLCC industry bottom-up revenue y-y comparison for individual players

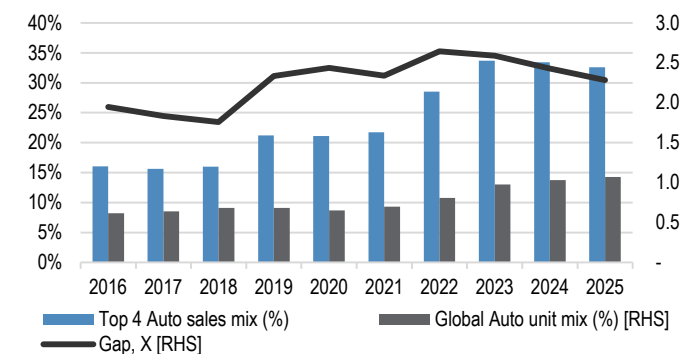
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Source: J.P. Morgan estimates, Company data.

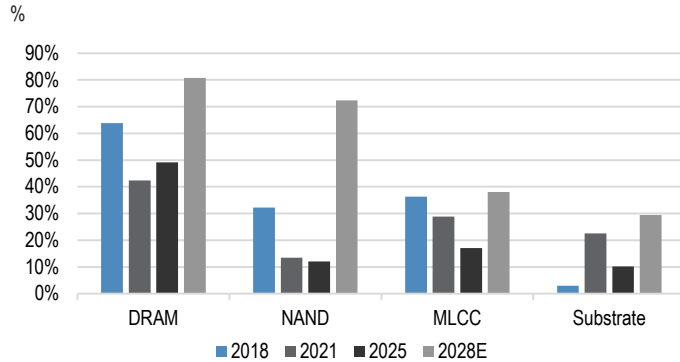
Figure 15: MLCC top 5 auto MLCC sales mix (%) and Global auto MLCC unit sales mix (%) comparison

%, x



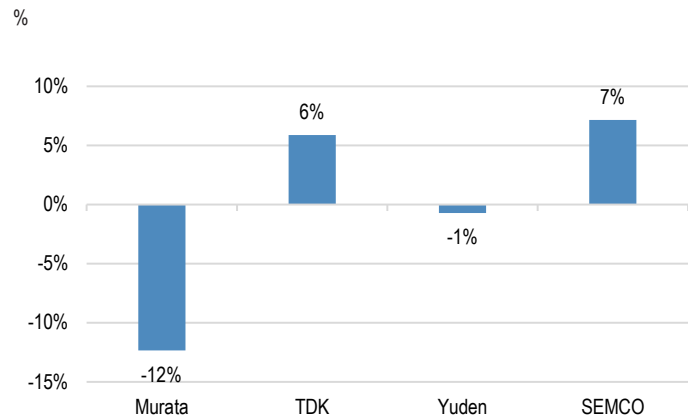
Source: J.P. Morgan estimates, Company data.

Figure 16: OPM comparison between DRAM, NAND, MLCC and Substrate



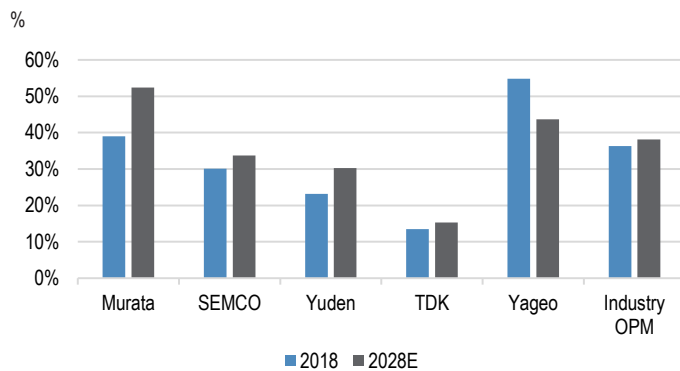
Source: J.P. Morgan estimates, Company data.

Figure 17: Auto sales CAGR by MLCC players (22-25')



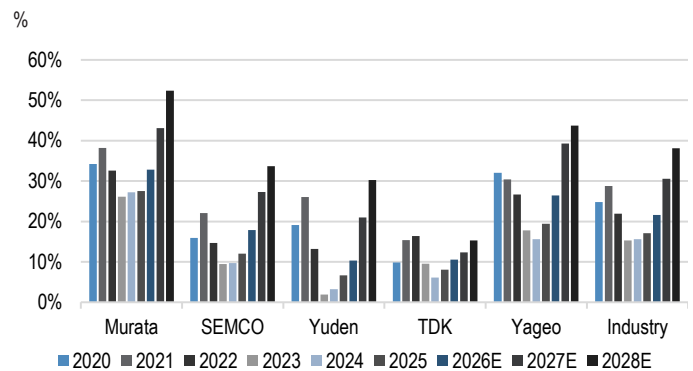
Source: J.P. Morgan estimates, Company data.

Figure 18: OPM comparison between MLCC players (2018 vs 2028E)



Source: J.P. Morgan estimates, Company data.

Figure 19: MLCC OPM trends by players



Source: J.P. Morgan estimates, Company data.

Table 4: Auto MLCC peer comparison analysis

Revenue in US\$bn											
	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	25A vs. 22
Auto revenue											
Murata	0.8	0.9	1.3	1.4	1.5	2.0	2.1	2.0	2.1	2.1	0%
TDK	0.2	0.2	0.3	0.4	0.4	0.5	0.5	0.8	0.7	0.8	81%
Yuden	0.1	0.1	0.2	0.2	0.3	0.4	0.4	0.4	0.5	0.5	18%
SEMCO	0.0	0.0	0.1	0.2	0.2	0.3	0.5	0.5	0.7	0.9	91%
Sum total	1.1	1.3	1.9	2.3	2.4	3.2	3.5	3.8	3.9	4.3	25%
Auto mix, %											
Murata	24%	23%	25%	28%	27%	28%	35%	38%	37%	34%	-1%
TDK	32%	31%	34%	42%	45%	43%	42%	48%	48%	48%	6%
Yuden	8%	11%	13%	13%	17%	20%	26%	31%	31%	31%	5%
SEMCO	1%	1%	5%	9%	8%	8%	16%	21%	23%	26%	11%
Sum total	16%	16%	16%	21%	21%	22%	29%	34%	33%	33%	4%
Auto v-y											
Murata		13%	41%	15%	4%	33%	6%	-5%	3%	2%	0%
TDK		9%	29%	21%	11%	14%	-7%	78%	-10%	12%	22%
Yuden		49%	55%	9%	41%	37%	6%	-1%	8%	11%	6%
SEMCO		87%	538%	60%	2%	36%	49%	20%	24%	29%	24%
Sum total		16%	49%	18%	8%	30%	8%	10%	4%	10%	8%
Auto share, %											
Murata	71%	69%	66%	64%	61%	62%	61%	53%	52%	49%	-12%
TDK	20%	19%	17%	17%	17%	15%	13%	21%	19%	19%	6%
Yuden	8%	10%	10%	9%	12%	13%	13%	11%	12%	12%	-1%
SEMCO	1%	2%	7%	10%	9%	10%	13%	14%	17%	20%	7%

Source: J.P. Morgan estimates, Company data. *note: above is only MLCC revenue specific to automotive applications

Table 5: MLCC supplier's sales mix by application comparison

%										
Murata (New)	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Telecom	34%	36%	33%	36%	34%	28%	27%	27%	25%	22%
Mobility	24%	23%	25%	28%	27%	28%	35%	38%	37%	34%
Computers	19%	19%	21%	22%	26%	28%	18%	18%	21%	25%
Home Appliance	7%	7%	5%	5%	6%	5%	5%	5%	5%	5%
Industrial & others	16%	16%	15%	9%	7%	11%	15%	12%	12%	15%
Yuden	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
PC	22%	19%	19%	19%	19%	19%	18%	16%	19%	17%
Mobile	37%	35%	32%	33%	28%	25%	19%	25%	20%	17%
Consumer	10%	11%	10%	8%	9%	9%	9%	8%	8%	7%
Auto	8%	11%	13%	13%	17%	20%	26%	31%	31%	31%
Industrial/others	24%	24%	26%	27%	27%	27%	28%	20%	22%	29%
SEMCO	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
IT	64%	63%	61%	54%	55%	57%	53%	49%	49%	48%
Industrial	10%	13%	15%	20%	22%	21%	18%	19%	19%	20%
Auto	1%	1%	5%	9%	8%	8%	16%	21%	23%	27%
Commodity	25%	23%	19%	17%	15%	14%	13%	12%	9%	5%
Yageo	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Consumer	10%	9%	10%	6%	5%	5%	6%	6%	11%	12%
Mobile	24%	27%	24%	24%	18%	18%	16%	14%	9%	10%
PC	41%	24%	25%	24%	25%	25%	22%	18%	26%	26%
Auto	6%	10%	11%	15%	16%	16%	21%	24%	18%	19%
Industrial/Others	19%	30%	30%	31%	36%	36%	30%	38%	36%	33%

Source: J.P. Morgan estimates, Company data.

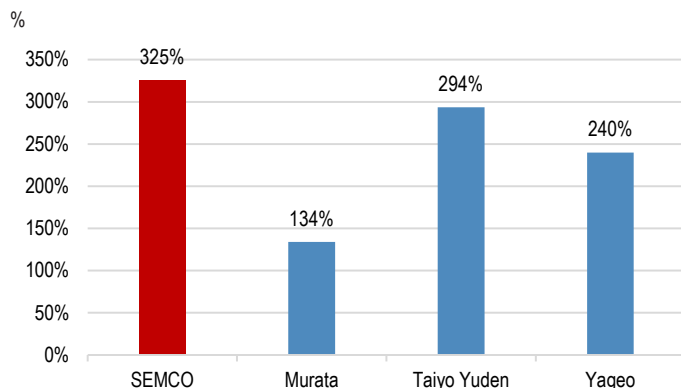
Share Price Outlook and Valuation

Table 6: Peer valuation table

Company name	Ticker	Price	Market Cap (\$mn)	P/E(x)			P/B(x)			ROE(%)			YTD Return	1M Return	3M Return	6M Return	1year Return
				FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E					
SEMCO	009150 KS	1,808,000	88,196	106.6	61.0	44.8	13.0	10.9	8.8	12.7	18.5	22.1	608.0	94.9	348.3	567.5	1276.7
Murata	6981 JP	8,967	110,062	51.9	40.7	29.8	5.8	5.2	4.6	11.3	13.7	15.7	175.4	47.1	140.3	162.9	317.9
Taiyo Yuden	6976 JP	16,630	13,541	85.3	54.8	35.2	6.0	5.6	4.9	7.6	11.2	13.7	369.2	155.5	315.3	356.7	587.8
TDK	6762 JP	3,561	43,282	29.2	25.4	21.0	3.0	2.8	2.5	10.6	11.5	12.2	62.1	21.0	64.9	53.2	132.4
Kyocera	6971 JP	3,596	31,908	36.8	33.0	25.3	1.5	1.5	1.4	4.0	4.5	5.0	68.4	29.9	43.9	64.5	116.6
Yageo	2327 TT	842	55,153	46.9	32.7	24.4	8.4	7.0	5.7	19.3	23.7	27.5	281.0	109.8	249.9	270.5	622.8
Walsin	2492 TT	418	6,406	55.7	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	263.2	125.5	240.0	254.2	417.0
Vishay	VSH US	55	7,438	73.9	35.4	n.a.	3.8	3.7	n.a.	5.6	n.a.	n.a.	304.4	74.2	241.7	282.3	267.4
MLCC Industry			355,987	69.8	40.4	30.1	5.9	5.2	4.6	10.2	13.8	13.7	266.5	82.2	205.5	251.5	467.3

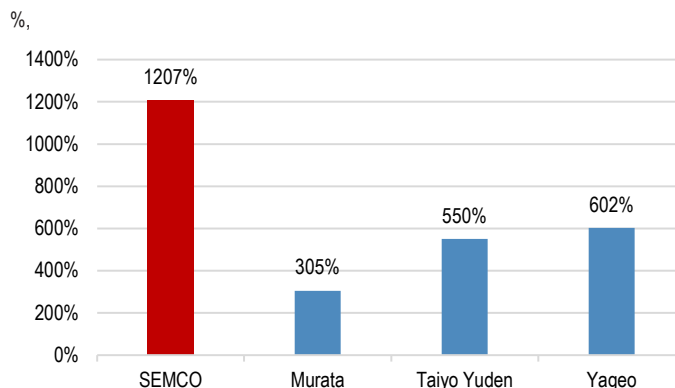
Source: Bloomberg Finance L.P. As at 11 June 2026

Figure 20: Past 3M Price Performance – SEMCO vs. MLCC Peers



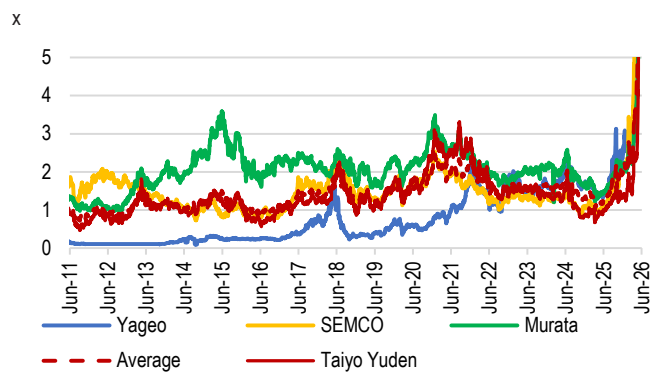
Source: Bloomberg Finance L.P. Note: Past performance is not an indicator of future results.

Figure 21: Past 12M Price Performance – SEMCO vs. MLCC Peers



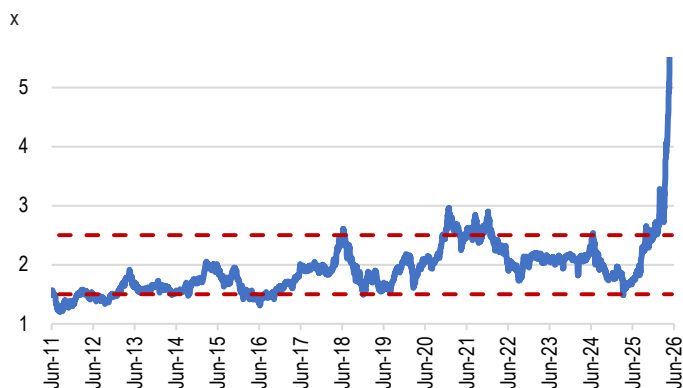
Source: Bloomberg Finance L.P. Note: Past performance is not an indicator of future results.

Figure 22: FTM P/B for MLCC peers over the past 15 years



Source: Bloomberg Finance L.P. Note: Past performance is not an indicator of future results.

Figure 23: Average FTM P/B for MLCC peers over the past 15 years

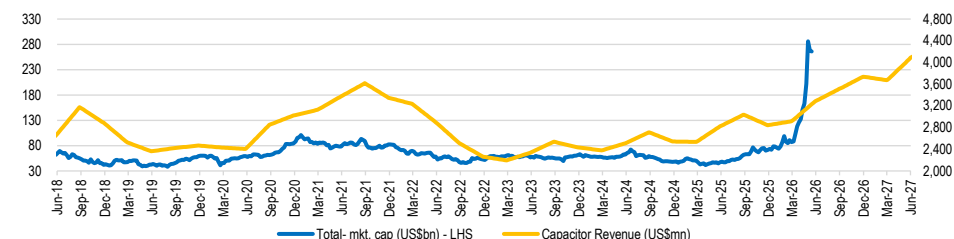


Source: Bloomberg Finance L.P. Note: Past performance is not an indicator of future results.

MLCC Players Market Cap vs. MLCC Revenue

Figure 24: MLCC industry combined revenue vs. market cap trend

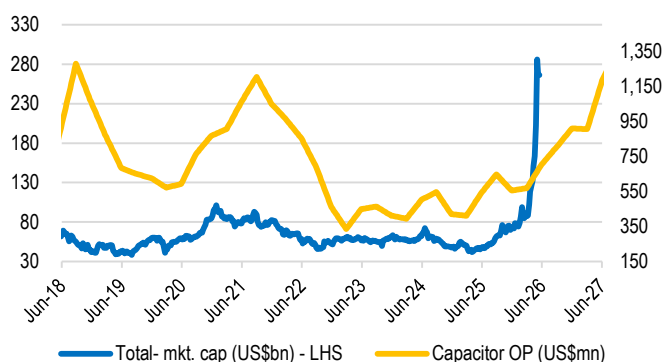
Mcap in US\$bn, revenue in US\$mn



Source: J.P. Morgan estimates, Company data.

Figure 25: MLCC industry combined OP vs market cap trend

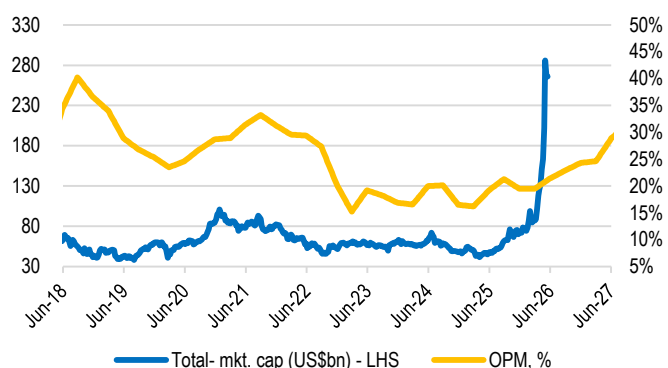
Mcap in US\$bn, OP in US\$mn



Source: J.P. Morgan estimates, company data, Bloomberg Finance L.P.

Figure 26: MLCC industry combined OPM vs market cap trend

Mcap in US\$bn, % - RHS

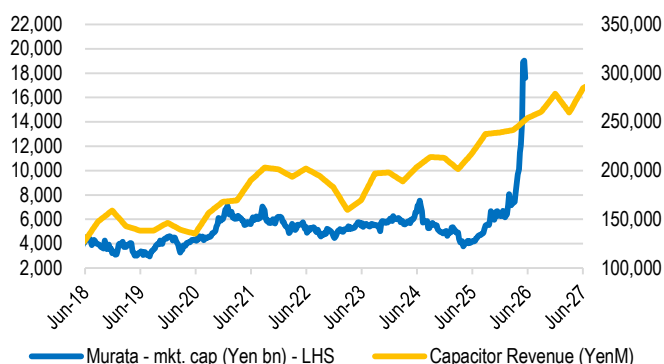


Source: J.P. Morgan estimates, company data, Bloomberg Finance L.P.

MLCC players market cap vs MLCC revenue

Figure 27: Murata market cap vs revenue trend

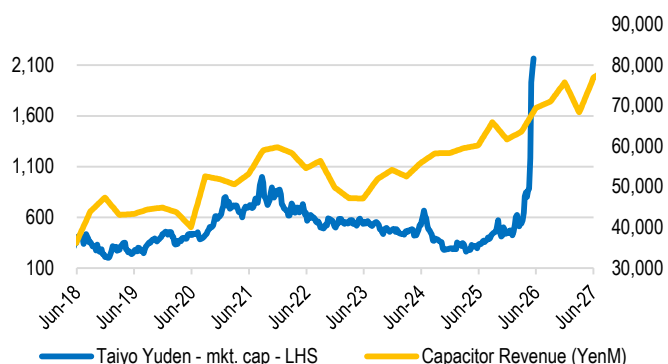
Yen bn, Yen mn



Source: J.P. Morgan estimates, Company data, Bloomberg Finance L.P.

Figure 28: Taiyo Yuden market cap vs revenue trend

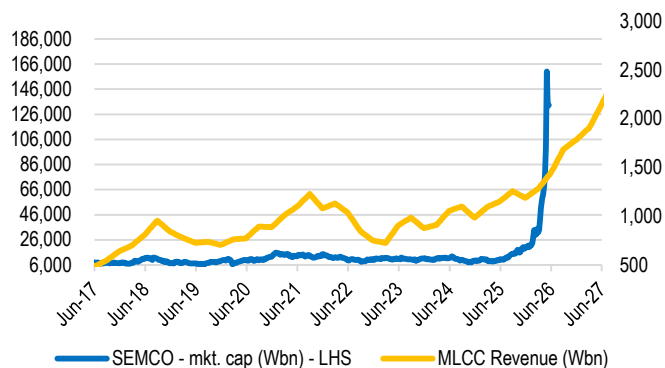
Yen bn, Yen mn



Source: J.P. Morgan estimates, Company data, Bloomberg Finance L.P.

Figure 29: SEMCO market cap vs revenue trend

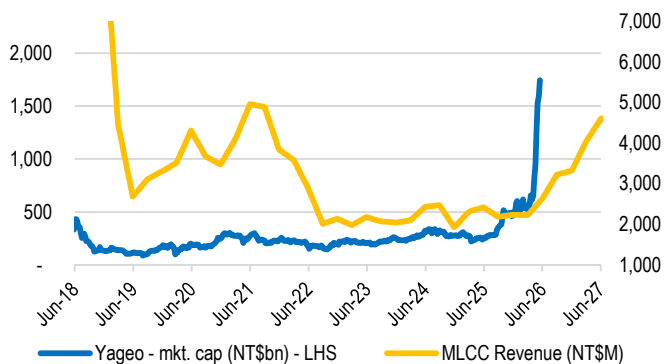
Wbn, Wbn



Source: J.P. Morgan estimates, Company data, Bloomberg Finance L.P.

Figure 30: Yageo market cap vs revenue trend

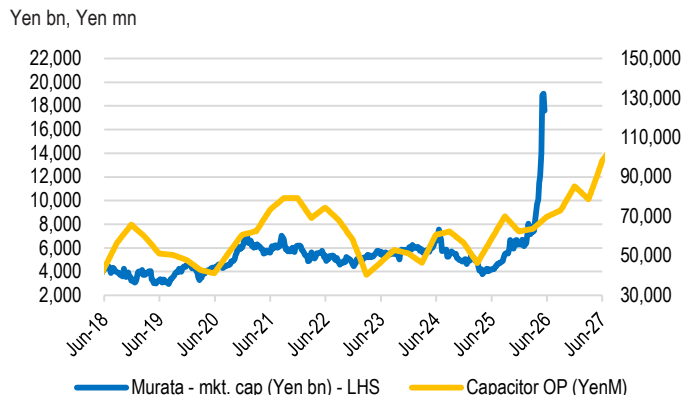
NT\$bn, NT\$m



Source: J.P. Morgan estimates, Company data, Bloomberg Finance L.P.

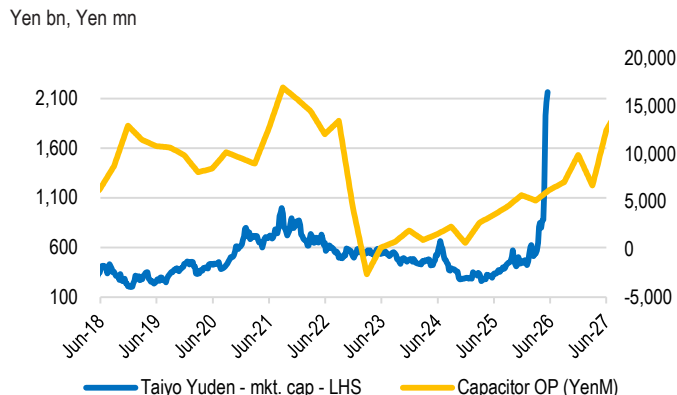
MLCC players' market cap vs MLCC OP

Figure 31: Murata market cap vs MLCC OP trend



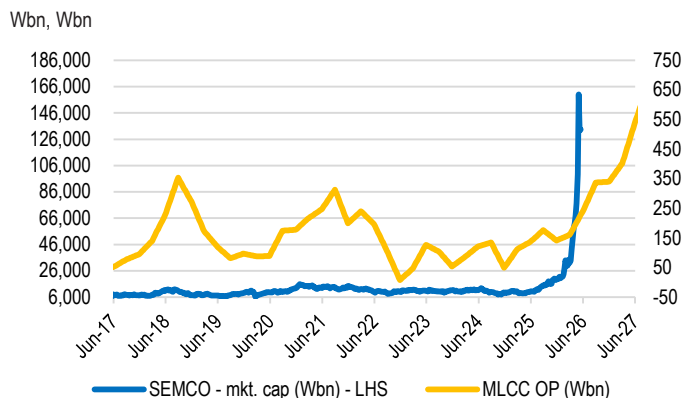
Source: J.P. Morgan estimates, Company data, Bloomberg Finance L.P.

Figure 32: Taiyo Yuden market cap vs MLCC OP trend



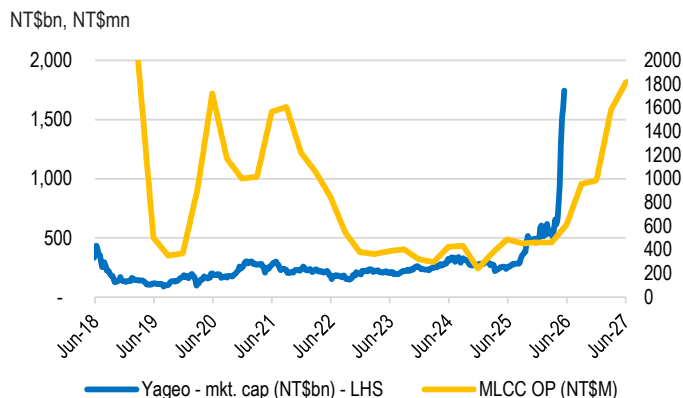
Source: J.P. Morgan estimates, Company data, Bloomberg Finance L.P.

Figure 33: SEMCO market cap vs MLCC OP trend



Source: J.P. Morgan estimates, Company data, Bloomberg Finance L.P.

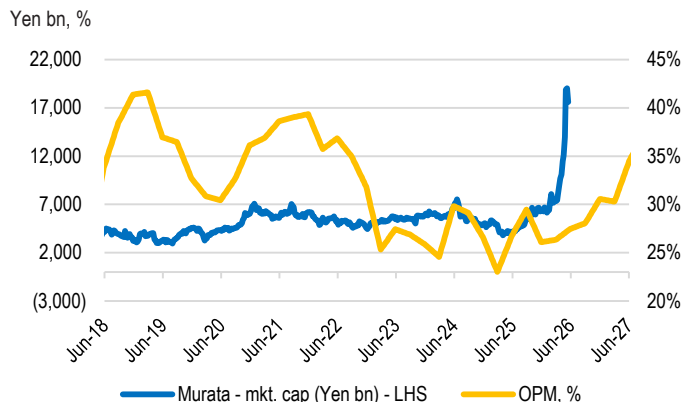
Figure 34: Yageo market cap vs MLCC OP trend



Source: J.P. Morgan estimates, Company data, Bloomberg Finance L.P.

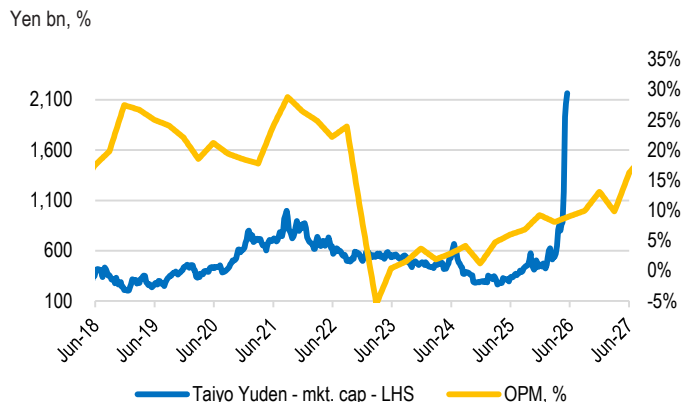
MLCC players' market cap vs MLCC OPM

Figure 35: Murata market cap vs MLCC OPM trend



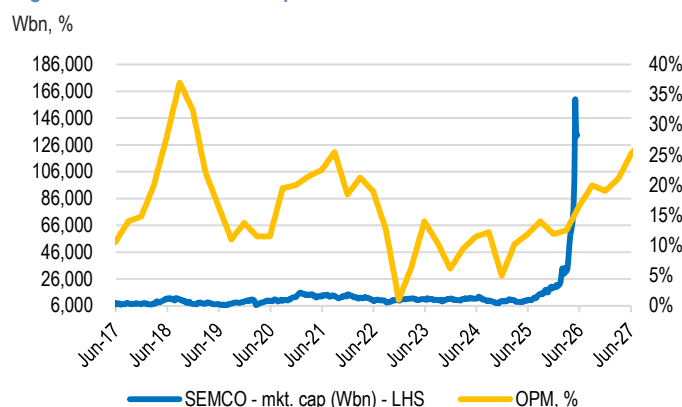
Source: J.P. Morgan estimates, Company data, Bloomberg Finance L.P.

Figure 36: Taiyo Yuden market cap vs MLCC OPM trend



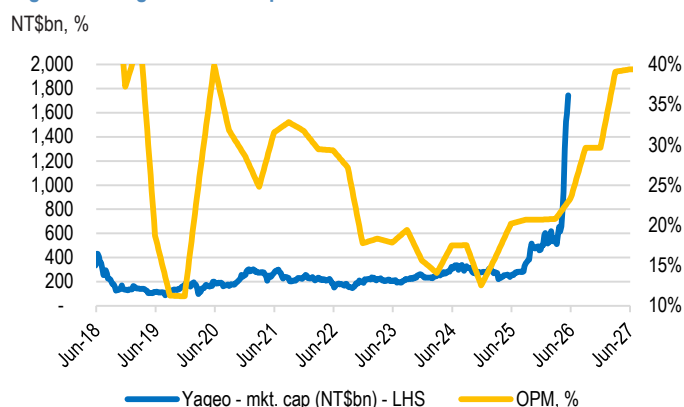
Source: J.P. Morgan estimates, Company data, Bloomberg Finance L.P.

Figure 37: SEMCO market cap vs MLCC OPM trend



Source: J.P. Morgan estimates, Company data, Bloomberg Finance L.P.

Figure 38: Yageo market cap vs MLCC OPM trend



Source: J.P. Morgan estimates, Company data, Bloomberg Finance L.P.

Companies Discussed in This Report (all prices in this report as of market close on 12 June 2026, unless otherwise indicated)
Murata Manufacturing (6981)(6981.T/¥8,556/OW), Samsung Electro-Mechanics(009150.KS/W1,704,000/OW), TDK (6762)
(6762.T/¥3,504/OW), Taiyo Yuden (6976)(6976.T/¥15,725/OW), YAGEO(2327.TW/NT\$855.00/OW)

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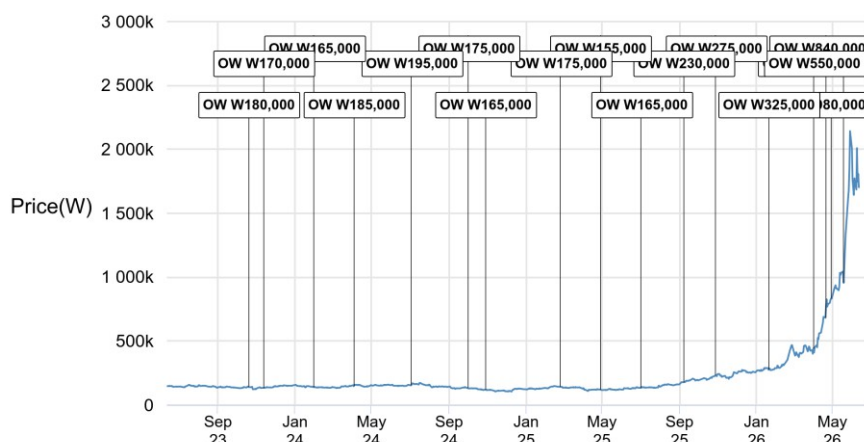
Murata Manufacturing (6981) (6981.T, 6981 JP) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jan 24, 2002. All share prices are as of market close on the previous business day.
Break in coverage Jul 04, 2024 - Jul 22, 2025.

Date	Rating	Price (Y)	Price Target (Y)
16-Aug-23	OW	2691	3,267
03-Oct-23	OW	2732	3,266.667
24-Jan-24	OW	3112	3,500
22-Jul-25	N	2165	2,200
14-Oct-25	N	2842	3,100
04-Dec-25	N	3315	3,500
03-Apr-26	OW	3478	4,800
23-Apr-26	OW	4911	7,000

Samsung Electro-Mechanics (009150.KS, 009150 KS) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Oct 11, 2004. All share prices are as of market close on the previous business day.

Date	Rating	Price (W)	Price Target (W)
20-Oct-23	OW	142900	180,000
13-Nov-23	OW	134400	170,000
01-Feb-24	OW	139600	165,000
04-Apr-24	OW	148000	185,000
04-Jul-24	OW	154900	195,000
02-Oct-24	OW	132500	175,000
29-Oct-24	OW	121200	165,000
25-Feb-25	OW	143700	175,000
29-Apr-25	OW	121300	155,000
03-Jul-25	OW	134500	165,000
08-Sep-25	OW	178200	230,000
29-Oct-25	OW	232500	275,000
21-Jan-26	OW	276500	325,000
02-Apr-26	OW	442500	550,000
21-Apr-26	OW	683000	840,000
30-Apr-26	OW	833000	980,000
20-May-26	OW	956000	1,450,000

Taiyo Yuden (6976) (6976.T, 6976 JP) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Sep 24, 2001. All share prices are as of market close on the previous business day.
Break in coverage Jul 04, 2024 - Jul 22, 2025.

Date	Rating	Price (Y)	Price Target (Y)
16-Aug-23	OW	4007	6,000
24-Jan-24	OW	3742	4,500
01-Apr-24	OW	3625	4,300
22-Jul-25	N	2628	2,500
14-Oct-25	N	3474	3,600
04-Dec-25	N	3699	3,700
03-Apr-26	OW	3861	5,700
23-Apr-26	OW	6264	9,500

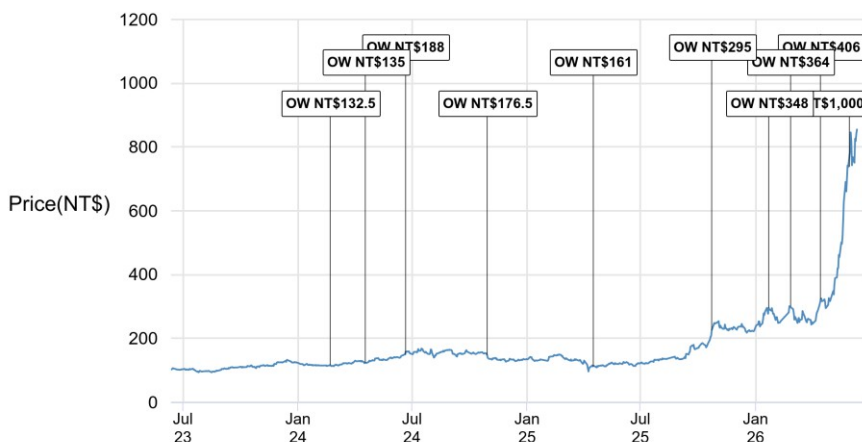
TDK (6762) (6762.T, 6762 JP) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jan 24, 2002. All share prices are as of market close on the previous business day.
Break in coverage Jul 04, 2024 - Jul 22, 2025.

Date	Rating	Price (Y)	Price Target (Y)
24-Jan-24	N	1492	7,000
22-Jul-25	OW	1675	2,070
14-Oct-25	OW	2212	2,600
19-Dec-25	OW	2218	2,700
03-Apr-26	OW	1946	3,200

YAGEO (2327.TW, 2327 TT) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Oct 17, 2001. All share prices are as of market close on the previous business day.

Date	Rating	Price (NT\$)	Price Target (NT\$)
22-Feb-24	OW	116.33	132.5
18-Apr-24	OW	124.08	135
21-Jun-24	OW	149.60	188
30-Oct-24	OW	147.75	176.5
17-Apr-25	OW	112.50	161
24-Oct-25	OW	226.00	295
23-Jan-26	OW	296.00	348
26-Feb-26	OW	300.00	364
16-Apr-26	OW	322.00	406
01-Jun-26	OW	738.00	1,000

The chart(s) show J.P. Morgan's continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period. J.P. Morgan ratings or designations: OW = Overweight, N= Neutral, UW = Underweight, NR = Not Rated

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Coverage Universe: Kwon, Jay : LG Corp (003550.KS), LG Display (034220.KS), LG Electronics (066570.KS), LG Innotek (011070.KS), Nanya Technology (2408.TW), SK Inc (034730.KS), SK hynix (000660.KS), SKC (011790.KS), Samsung C&T (028260.KS), Samsung Electro-Mechanics (009150.KS), Samsung Electronics (005930.KS), Samsung SDS (018260.KS) **Kanemoto, Akinori** : Alps Alpine (6770) (6770.T), Hirose Electric (6806) (6806.T), Ibiden (4062) (4062.T), Japan Aviation Electronics (6807) (6807.T), Kyocera (6971) (6971.T), MinebeaMitsumi (6479) (6479.T), Murata Manufacturing (6981) (6981.T), NISSHA (7915) (7915.T), Nichicon (6996) (6996.T), Nidec (6594) (6594.T), Nippon Chemi-Con (6997) (6997.T), Nitterra (5334) (5334.T), Rohm (6963) (6963.T), TDK (6762) (6762.T), Taiyo Yuden (6976) (6976.T), Wacom (6727) (6727.T) **Tsai, Jerry** : Chicony Power Technology (6412.TW), Chroma ATE (2360.TW), Chunghwa Precision Test Tech (6510.TWO), E Ink (8069.TWO), Elite Material Co (2383.TW), Flexium Interconnect Inc (6269.TW), Radiant Opto-Electronics Corp. (6176.TW), Sunonwealth (2421.TW), Taiwan Surface Mount Tech (6278.TW), Tripod Technology Corp (3044.TW), Unimicron (3037.TW), WIN Semiconductors Corp (3105.TWO), YAGEO (2327.TW)

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IB clients**	83%	79%	74%
JPMS Equity Research Coverage*	49%	39%	13%
IB clients**	94%	93%	85%

*Please note that the percentages may not add to 100% because of rounding.

**Percentage of subject companies within each of the "buy," "hold" and "sell" categories for which J.P. Morgan has provided investment banking services within the previous 12 months.

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Completed 12 Jun 2026 07:29 PM HKT

Disseminated 12 Jun 2026 10:21 PM HKT